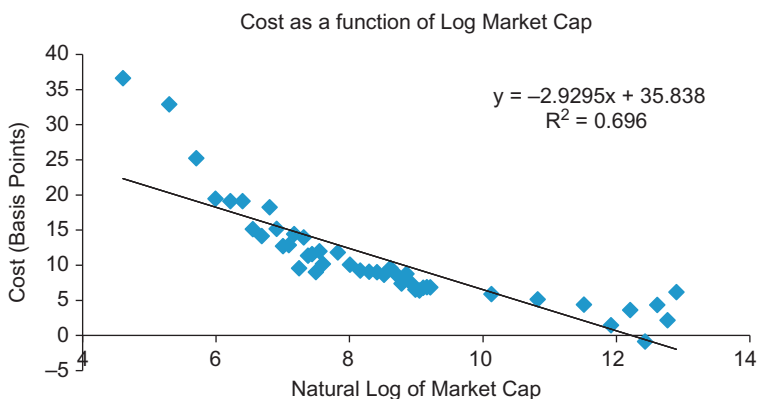
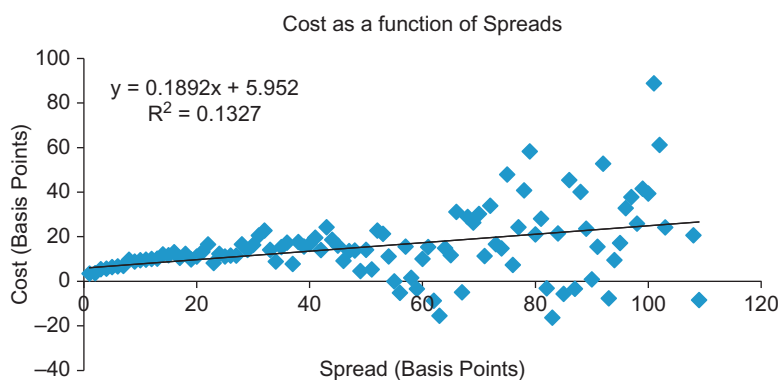




■ Figure 5.3 Cost as a function of Log Market Cap.



■ Figure 5.4 Cost as a function of Spreads.

Our goal in the research step was simply to learn from the data and we found that our data set was consistent with the previous research findings and academic literature.

Construct the Hypothesis

Our hypothesis is that market impact cost follows a power function relationship with size, volatility, and strategy (POV rate), and is comprised of a temporary and a permanent impact component. The formulation is the now famous “I-Star” model:

$$I_{bp}^* = a_1 \cdot \left(\frac{S}{ADV} \right)^{a_2} \cdot \sigma^{a_3} \quad (5.1)$$